

**The primary challenge in India's electronics industry is not demand but supply. There is more demand than available suppliers. Would you agree with this assessment?**

Absolutely, I agree. This issue permeates every facet of the ecosystem—talent, suppliers, and logistics. Companies often struggle to find reliable logistics partners who deliver on time and precisely. This is not a minor issue; delayed supplies can nullify all the effort that goes into engineering and coordination. Moreover, with the overload of available information, the challenge extends to discerning which data is essential. MSMEs have a significant opportunity to set a standard in providing accurate, crucial details on industry components.

The shift from traditional CMOS to advanced technologies, such as high-voltage IGBTs, silicon carbide, and GaN, is also a significant area ripe for innovation. These advancements are making devices more compact and efficient, and the opportunities for local development in these areas are vast, especially given that much of this technology is currently concentrated in China and Taiwan. Essentially, there are opportunities at every turn—it is just a matter of choosing to pursue them.

**Numerous MSMEs feel that large companies like yours fail to provide opportunities to showcase their offerings. How do you respond to this?**

First, it is essential to understand that industries are made up of people, not just buildings. There is a significant workforce shortage at all levels, doubling the pressure on companies. However, organisations such as the Indian Electronics and Semiconductors Association, where I have served as chairman, can bridge the information gap between MSMEs and large companies. These institutions

play a crucial role in connecting industry, academia, and government.

However, the real challenge is not just about obtaining information but also about making your value proposition known. MSMEs need to be proactive and persistent in reaching out. For example, if an MSME has capabilities in IP supply or system design that are in demand, they must communicate this to potential partners. Opportunities exist, but MSMEs need to make their presence known and take the initiative to capitalise on them.

I will share an anecdote about Steve Jobs, who was greatly inspired by someone who dared to call him directly for an internship, bypassing conventional application processes. This individual eventually became a top executive at Apple. This story highlights the importance of persistence and initiative—qualities essential for MSMEs looking to break through. Always remember, someone might be waiting for your call.

**It appears that many PCB manufacturing companies prefer to operate abroad, claiming that the Indian market lacks competitive pricing compared to China. How can we encourage support for local manufacturers? What can MSMEs do to overcome this challenge?**

This challenge stems from two main issues. Historically, Indian consumers and businesses have been highly price-sensitive, influenced by a relatively low per capita income. A decade ago, India's per capita income was under \$1000, fostering a mindset where even minor cost savings were crucial. However, this is changing. India's per capita income is now approaching \$2500, shifting spending from essentials to discretionary items. With rising incomes, spending is shifting from essentials to quality and features rather than price alone.

Internationally, markets operate

differently due to higher economic affluence. For instance, the US has a per capita income of over \$15,000, and China's is above \$7500. India is on a similar trajectory, expected to reach these levels within the next decade. As the economy grows, consumer behaviour is shifting towards valuing features and quality over mere cost.

For MSMEs, the key is to focus on quality and reliability rather than competing solely on price. The Indian market is evolving, and both businesses and consumers are increasingly willing to pay for higher quality and advanced features. Companies such as L&T Semiconductors prioritise quality over cost when selecting suppliers. As India progresses economically, there will be greater opportunities for MSMEs to emphasise quality in their offerings. The mindset of suppliers and consumers is shifting, and MSMEs must adapt to these changes to succeed.

**How did China, once trailing India in car manufacturing, begin exporting 16,000 cars daily last fiscal year, becoming a major player similar to its rise in the semiconductor sector? Where has India fallen short in this area?**

India's automotive industry ranks among the top three globally, showcasing significant capabilities. However, it trails behind China, which has achieved exceptional advancements in its automotive sector over the past two decades. This progress is largely due to China's robust local semiconductor and system design industries. Observers often note the scale of China's manufacturing facilities, referring to them as 'ultra-mega factories.' For example, the production area in China's EV battery plants is so vast that one cannot see the facility's end wall—a stark contrast to even the largest plants in India. **EFY**